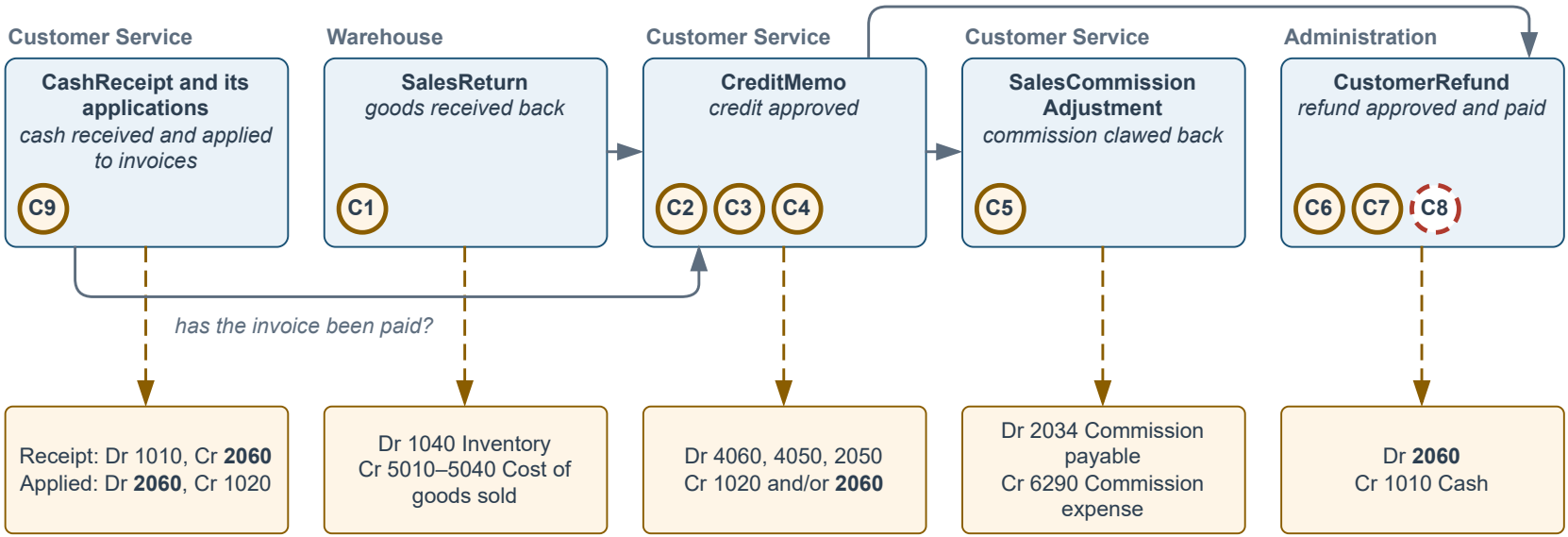


Account 2060 Customer Deposits and Unapplied Cash joins receipts, credits on paid invoices and refunds: every receipt passes through it, and every refund is paid from it.

Control points: what a well-designed cycle checks, and what the records cannot show

C1	Every credit rests on a return received outside customer service	*Whether anyone inspected the goods, their condition, or a carrier claim.*
C2	Credits approved within the approver's authority	*The delegation of authority for credits, if one exists; who prepared the credit.*
C3	Credits at the invoice price for no more than was shipped	*The freight-credit policy for partial returns and an outside criterion for the tax; the stored totals keep a few cent-level rounding variants.*
C4	The credit approver does not handle that customer's cash	*Cash handled outside the system (mail opening, deposits, remittance advices).*
C5	A clawback for every credit line at the accrual's rate	*Whether the representatives were informed; the approval of the rates beyond their end date.*
C6	Refunds approved within authority, outside customer service	*The delegation of authority for refunds; who prepared the refund (no preparer column).*
C7	A refund only of a credit balance the customer has paid	*Whether a payment had cleared the bank; the customer's request for the refund.*
C8	Refunds to the payer's own method or account, net of open balances	*The payee's name, the bank account, and the customer's written request: no table holds them.*
C9	Cash applied promptly to the remitting customer's invoices	*Remittance advices and bank deposit records.*

C The records evidence part of it: the rest is written beside the badge

C The evidence lies mostly outside the database

Document flow

Posting to the ledger

The model answer's marking, from the Cycle Map and Risks sheets: 8 control points are evidenced in part (C3 among them, since the freight policy for partial returns and a criterion for the tax lie outside the records), and 1 (C8) rests mostly on evidence in no table. The badge style carries the reading with its fill and its outline, not its color alone. Departments are the cost centers of the people each document names.